



Entrepreneurship and Professional Practice

Unit VI: Legal Issues for Professional Practice (5 Hrs.)

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**Level: Bachelor
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Unit VI: Legal Issues for Professional Practice (5 Hrs.)

6.1 Intellectual Properties

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6.1 Intellectual Properties

Intellectual Property refers to creations of the human mind that are legally protected so creators can control and benefit from their use.

Purpose of IP protection

- Encourages innovation and creativity
- Provides legal ownership rights
- Prevents unauthorized use or copying
- Supports economic and technological development

6.1 Intellectual Properties

6.1.1 Types of Intellectual Property

1. Copyright

Protects:

- Literary works (books, software code, articles)
- Artistic works (music, films, drawings)

Key features

- Protection is **automatic** after creation
- Covers **expression**, not ideas
- Rights include reproduction, distribution, adaptation

6.1 Intellectual Properties

Examples

- Software source code
- Research papers
- Websites, mobile apps

6.1 Intellectual Properties

2. Patent

Protects:

New inventions (products or processes)

Requirements

- Novelty
- Inventive step
- Industrial applicability

Duration

Usually **20 years** from filing date

6.1 Intellectual Properties

Examples

- New machine design
- Innovative algorithm with hardware application

3. Industrial Design

Protects:

Appearance or aesthetic features of a product

Includes

Shape, pattern, color, configuration

Examples

- Smartphone body design
- Packaging design

6.1 Intellectual Properties

4. Trademark

Protects:

Brand identifiers

Includes

- Logos
- Names
- Symbols
- Slogans

Purpose

Distinguishes goods/services of one company from another

6.1 Intellectual Properties

Examples

- Company logo
- Product brand name

5. Trade Secrets

Protects:

Confidential business information

Key features

- No registration required
- Protection lasts as long as secrecy is maintained

Examples

- Source code
- Formulas
- Customer databases
- Business strategies

6.1.2 IP Laws

IP Laws in Nepal

Nepal protects IP through national laws and international agreements.

Major Laws

- **Copyright Act, 2059 (2002)**
- **Patent, Design and Trademark Act, 2022 (1965)**

Authorities

- **Department of Industry (DoI)** – patents, designs, trademarks
- **Copyright Registrar's Office** – copyright

International IP Agreements (Nepal is a member)

- **WIPO (World Intellectual Property Organization)**
- **TRIPS Agreement (WTO)**
- **Paris Convention**

6.1.2 IP Laws

Importance of IP Laws for Engineers & IT Professionals

- Protects software and inventions
- Prevents plagiarism
- Encourages ethical innovation
- Ensures legal compliance in professional practice

6.2 IT-Related Policies and Laws in Nepal

IT-related laws and policies in Nepal regulate the use of information technology, electronic transactions, digital communication, and ensure cybersecurity, privacy, and ethical use of IT.

Objectives

- Promote digital governance and e-commerce
- Ensure secure electronic communication
- Control misuse of IT and cyber crimes
- Support ICT development in Nepal

6.2.1 ICT Policy (Information and Communication Technology Policy)

Purpose

- Develop Nepal as a **knowledge-based society**
- Promote use of ICT in government, education, health, and business
- Encourage IT industries and startups

Key Features

- Expansion of broadband and internet access
- Promotion of **e-governance**
- Development of skilled ICT manpower
- Encouragement of private sector participation
- Focus on cybersecurity and data protection

Importance

- Supports digital Nepal initiatives
- 2/8/2026 Encourages innovation and employment in IT sector

6.2.2 Electronic Transaction Act (ETA), 2063 (2006)

Purpose

Provide legal recognition to **electronic records and digital signatures**

Control cyber crimes

Key Provisions

Legal validity of:

- Electronic documents
- Digital signatures

Regulation of:

- E-commerce
- Online contracts

Establishment of:

- Information Technology Tribunal
- IT Appellate Tribunal

6.2.2 Electronic Transaction Act (ETA), 2063 (2006)

Cyber Crimes Covered

- Hacking
- Unauthorized access to computer systems
- Data damage or deletion
- Online fraud

Punishment

Fines and/or imprisonment depending on the offense

Importance

- Ensures trust in online transactions
- Protects users from cyber threats

6.2.3 Communication Act (Telecommunication Act)

Purpose

Regulate telecommunications and communication services in Nepal

Key Features

- ❑ Licensing of telecom service providers
- ❑ Regulation of:
 - Internet services
 - Mobile and telephone services
- ❑ Prevention of misuse of communication systems

Authorities

- **Nepal Telecommunications Authority (NTA)**

Offenses

- Unauthorized operation of telecom services
- Misuse of communication systems

6.2.3 Communication Act (Telecommunication Act)

Importance of IT Laws for IT Professionals & Engineers

- Ensures **legal compliance** in software and network systems
- Prevents cyber crime and data misuse
- Promotes ethical and responsible IT practice
- Supports growth of digital economy

6.3 Legal Issues for Startup

Startups must comply with legal, financial, and regulatory requirements to operate legally and sustainably. Understanding these issues helps avoid penalties and supports business growth.

Major Legal Issues

- Business registration
- Taxation and statutory compliance
- Intellectual Property protection
- Employment and labor laws
- Contractual obligations

6.3 Legal Issues for Startup

6.3.1 Business Registration in Nepal

Importance of Business Registration

- Provides **legal identity** to the startup
- Required for banking, taxation, and contracts
- Builds trust with customers and investors

Types of Business Registration

1. Sole Proprietorship

- Owned and managed by one person
- Registered at **local municipality (Ward Office)**

6.3 Legal Issues for Startup

Features

- Easy to start
- Owner bears unlimited liability

2. Partnership Firm

Owned by two or more partners

Registered at **Department of Commerce, Supply and Consumer Protection (DoCSCP)**

Features

Shared ownership and responsibility

Governed by Partnership Act

6.3 Legal Issues for Startup

3. Private Limited Company (Most common for startups)

Registered at **Office of Company Registrar (OCR)**

Requirements

- Minimum 1 shareholder and 1 director
- Company name approval
- Memorandum of Association (MoA)
- Articles of Association (AoA)

Features

- Limited liability
- Separate legal entity

6.3 Legal Issues for Startup

4. Public Limited Company

- Minimum 7 shareholders
- Can raise capital from the public

Additional Registrations

- **PAN/VAT registration** – Inland Revenue Department (IRD)
- Industry registration – Department of Industry (DoI) or local authority

6.3.2 Taxation and Compliance Requirements

Permanent Account Number (PAN)

- Mandatory for all registered businesses
- Issued by **Inland Revenue Department (IRD)**
- Used for all tax-related activities

Value Added Tax (VAT)

- Mandatory if annual turnover exceeds the threshold set by IRD
- VAT rate: **13%**
- Required for invoicing and tax filing

Income Tax

- Applicable on business profits
- Rates vary depending on:
 - Type of business
 - Nature of income

6.3.2 Taxation and Compliance Requirements

Tax Compliance Requirements

- Regular **tax filing** (monthly/annual)
- Maintenance of accounting records
- Submission of financial statements
- Timely payment of taxes

Other Legal Compliance

- Renewal of business registration
- Compliance with labor laws
- Social Security Fund (SSF) registration for employees
- Industry-specific licenses (if applicable)

6.3.2 Taxation and Compliance Requirements

Importance of Legal Compliance for Startups

- Avoids legal penalties and fines
- Improves credibility with investors and banks
- Enables smooth business operations
- Supports long-term sustainability